# PASTA MARKET IN SPAIN

## 06/12/2023

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# 1. INTRODUCTION

The aim of this paper is to develop a coherent analysis of the Pasta market in Spain, investigating its demand and supply side. Subsequently, we will examine the position and the strategy of Pastas Gallo within the country's competitive landscape.

Prior to this examination, it is essential to consider Spain's main economic features.

Generally, results from our analysis reveal these phenomena:

- ➢ Spain has a growing economy
- ➢ The value of the pasta market and its demand have increased over the last decade
- ➢ Pasta's average retail price also has increased over the last decade
- ➢ The number of active companies in the Spanish market has boomed
- ➢ The number of employees has surprisingly decreased over the last decade, prompting various hypotheses regarding its potential causes

A section of our report has been devoted to the examination of the company Pastas Gallo. The topics covered are:

- ➢ History of the company
- ➢ Its strength in innovation
- ➢ Swot analysis
- ➢ Its main competitors

The company holds an important market share in the Spanish market. This fact can be explained with some of the features of the company. Pastas Gallo seems to be mindful of the needs of its customers and brings out many innovations, following the latest trends.
As such, it also offers a vast range of products.

All of this considered, the company has a strong influence in the market and has little competition.

# 2. ANALYSIS OF DEMAND AND SOCIO - ECONOMIC SCENARIO

In this section of the paper two main subjects will be described: Economy in Spain and trends in the pasta market.

## 2.1 SOCIO ECONOMIC SCENARIO

Spain is a European country situated in southern-western Europe, with a rich and diverse culture that has been influenced throughout the decades by various cultures and civilizations. [1]

Spain's population has increased between 2013 and 2022, with a positive average growth rate of 1.6%.

SPAIN POPULATION in mln

2013 to 2022

| 2013 | 2014 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 |
|---|---|---|---|---|---|---|---|---|---|
| 46.728 | 46.512 | 46.45 | 46.44 | 46.528 | 46.658 | 46.937 | 47.333 | 47.399 | 47.433 |

Studies have demonstrated that immigration[2], rather than natality [3], has played a major role in the increase of population.

A significant decrease in population can translate into economic hardship and GDP decrease. [4]
Therefore, with its positive population growth rate, Spain should not encounter this issue imminently.

Despite Spain's unemployment rate being the highest in the EU [5], this has been decreasing by -7.53% on average over the last decade (*figure 1*) , which could signal an improvement of the economic structure and a rise of GDP per capita.

As a matter of fact, over the same period GDP per capita increased by 1.6% on average. (Figure 2).
It appears that the Covid-19 pandemic

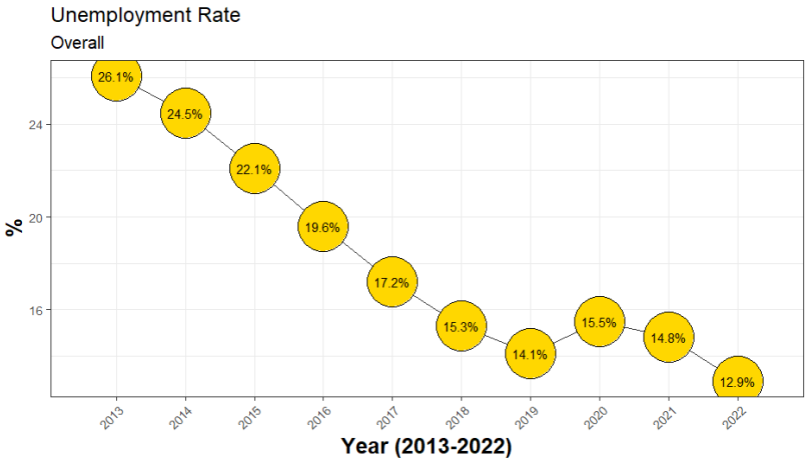


FIGURE 1
Eurostat (tepsr_wc170)

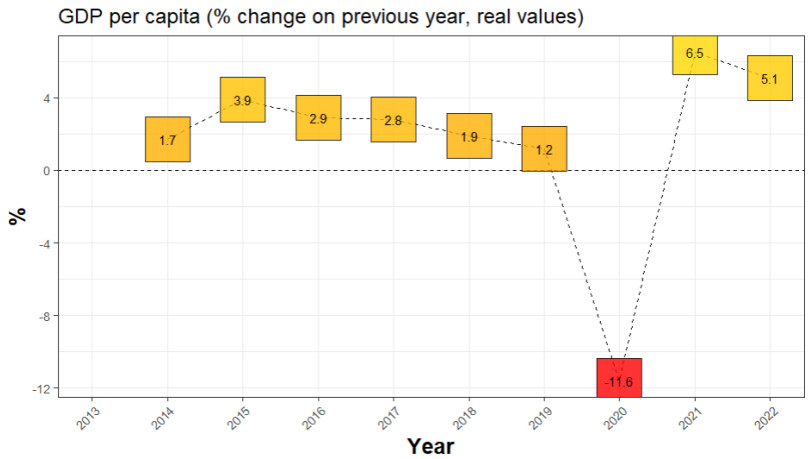


FIGURE 2
Eurostat (tec00115)

has negatively affected the Spanish economy for what it concerns both unemployment and GDP per-capita. Nevertheless, there has been a sort of “rebound” effect after 2020.

We will now move on with our analysis to assess how the Spanish pasta market has evolved during a decade characterized by the above documented expanding economy. Specifically, we will analyze the demand side of the market.

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## 2.2 ANALYSIS OF AGGREGATE DEMAND

To begin with the analysis of the demand for pasta, the value of its market over time has been examined.
Pasta is a staple food in the long-standing Spanish culinary tradition.
Dishes like paella and fideuà (which is a paella with pasta instead of rice) are just two of the various dishes that characterize the gastronomic heritage of Spain.

Being a widely consumed food, pasta is a main ingredient in numerous European countries and beyond, such as France, Germany, Italy but also Japan and China.

Spanish per capita consumption, data collected with reference to year 2015, was 5 kilograms per year. Italy with its 23 kilograms per capita ranked first for the highest amount.
This information gives context to the popularity of pasta in Spanish families.

The definition of "pasta" includes both pasta and noodles. Therefore, the following figures have been drawn up considering these two categories as a single aggregate.

In *figure 3*, real monetary values of the Pasta market have been taken into consideration.
It can be noticed that they have been constantly increasing over the years, despite one contraction of the market having been registered in 2021, which

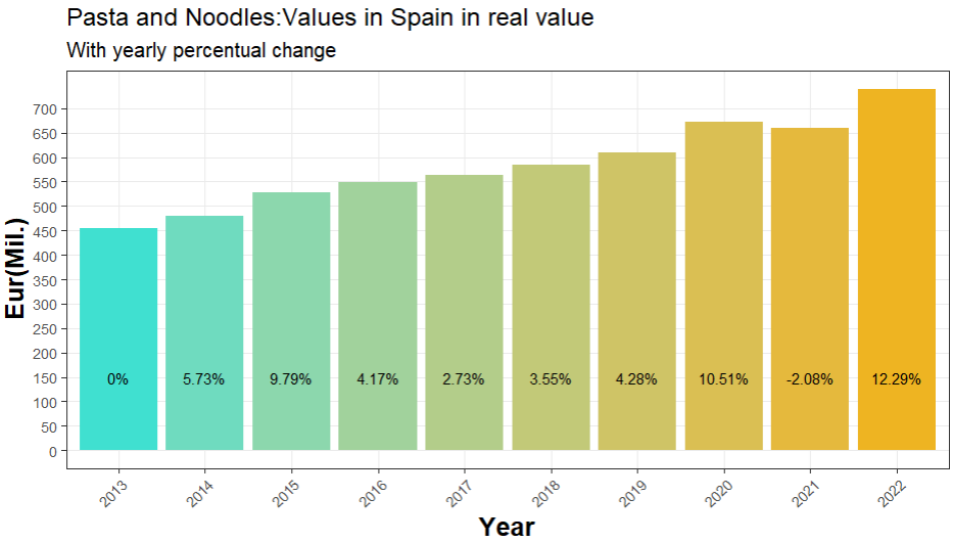


FIGURE 3
Passport/Euromonitor

may have been influenced by the Covid-19 pandemic.

Since real values have been used, inflation does not affect changes in the market value of pasta.
Hence, the reason for this increase may be due either to an increase of sales volume, or to a tendency of consumers to buy more expensive products.

As a matter of fact, both hypotheses seem to be confirmed by looking at the following graphs. *(figure 4, figure 5)*

*Figure 4* shows the volumes of pasta (in tonnes) and also the channels of demand (foodservice or retail).
From this picture it is observable that volumes have shown an increase, but with low variation.
This graph also depicts that Pasta is mostly consumed as a "home food".
This could be thanks to the characteristics of pasta, and the low skill required to cook it.

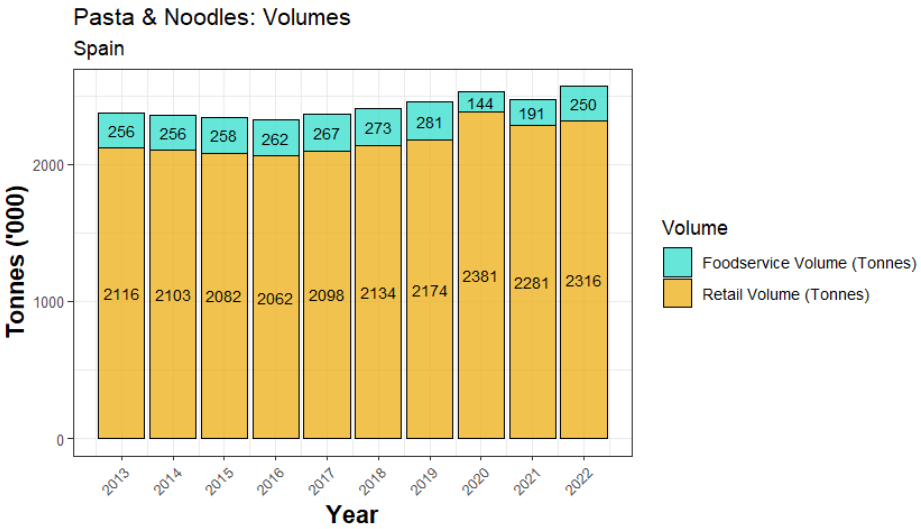


FIGURE 4
Passport/Euromonitor

The low popularity of pasta in food service, could probably be explained because the Spanish does not include the use of pasta in the majority of its traditional foods.[6]

*Figure 5* shows the average price of pasta in real values, indexed based on 2013.

Prices have shown a significant increasing trend over time, with a spike of prices of about 50% from 2013 to 2022.

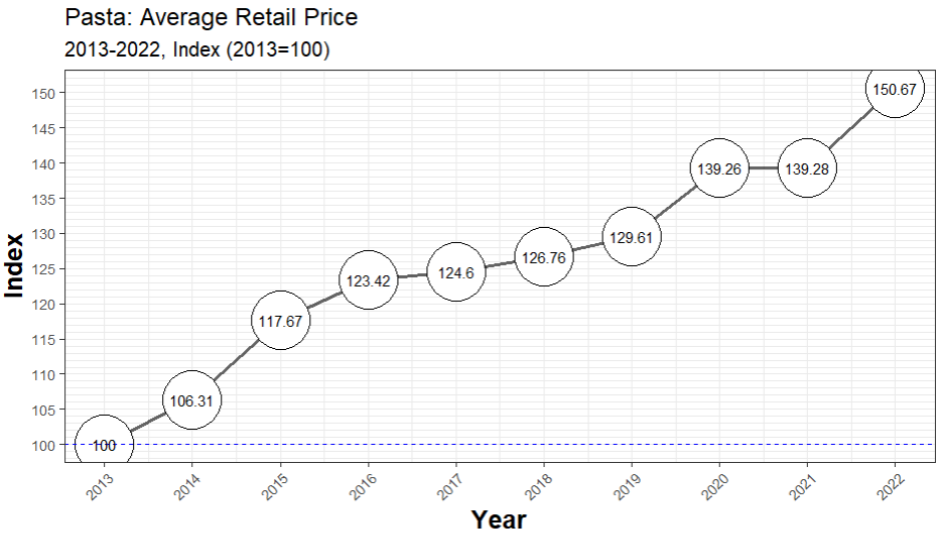


FIGURE 5
Passport/Euromonitor

This phenomenon might stem from three contributing factors:

a. consumers have developed a preference for better quality products or new variants of pasta, and/or
b. cost of production has increased
c. an expansion of the market happened, without being matched to an expansion of supply

Assumption "a" seems to be confirmed by a study [7] on the growth of the organic market in Europe. It emerged that the growth in retail sales of organic food in Spain was 153% between 2012 and 2021.
Another study [8] researched what leads Spanish people to buy organic food, and the number one reason is propensity towards health and the wish to avoid synthetic chemicals in food.
Yet the organic pasta market is still very small, with respect to the whole pasta market.
Its global value in the year 2022 was estimated to be 552 million USD [9], compared to the whole pasta market which is worth 66.36 billion USD. [13]

Another fact to take into consideration is the increase of new patients diagnosed with celiac disease, which showed an average yearly increase of 7.5% in the past few decades throughout the industrialized Western world.[10]
The only existing treatment for celiac disease is to eat gluten-free food, avoiding those rich in gluten.
Therefore, an increase in celiac people is likely to translate itself into an increase in the demand for gluten free pasta, and with that the average price of pasta in the market.
Between 2010 and 2015 the sales volume of gluten free pasta in Europe went from 20.2 to 45.9 thousand tons[11]
Yet the gluten free pasta holds a very small market share in the world, its global value in year 2022 being only 1.52 billion USD [12] compared to the whole pasta market which is worth 66.36 billion USD [13]

Suppositions b. and c. will be addressed in the next section, regarding the supply side of the pasta market.

# 3. SUPPLY

In this section of the paper, the market will be analyzed. As a consequence, we will mainly treat: the expansion of the market, the number of active companies, the number of employees and the cost of raw materials.

## 3.1 SUPPLY OVERVIEW

After assessing the situation of the demand for pasta and observing a growing market, we would expect a mirroring effect in the supply side.
To check for a supply expansion, two main graphs have been produced: *figure 6* showing the economic equilibrium and *figure 7* about the number of active companies in the sector.

*Figure 6* represents the economic equilibrium of the pasta market. When the market is in equilibrium, demand and supply meet.
This figure aids to identify supply or demand shifts.
If an increase in both prices and quantities is observed, there is a demand increase.
On the other hand if a decrease in both prices and quantities is observed, there is a supply increase.

FIGURE 6
Passport/Euromonitor

After the Covid19 pandemic, an expansion in the Spanish pasta demand has been noted.
To explain the phenomenon, a study on consumer's behavior was conducted, which showed that during the lockdown the demand for products such as pasta and fruits increased, while the demand for others (such as sweets) decreased, due to the fact that people wanted to consume "healthier foods" for health and wellness reasons.[14]
The entire world discovered pasta once again during that historical period, marking pasta as a cornerstone product in the Mediterranean diet and lifestyle. [15]

Nevertheless, while consumption was increasing, leading by its own rise in prices, average retail prices were increasing due to other factors.

As already assumed in the previous paragraph, one of the main reasons for the increase in the average price of pasta over time could be the development of new preferences for the type of

pasta.
In addition, other factors that may have contributed to this increase could include:

- an increase in production costs
- an increase in demand not met by production, as economic theories suggest

These ideas will be analyzed in the next two sections.

## 3.2 COMPANIES IN THE SECTOR

To complete the investigation on the supply expansion, *figure 7* has been produced.

*Figure 7* shows the number of active companies subdivided by sector.
From the graph we observe a sharp increase in the total number of companies working in the pasta market.

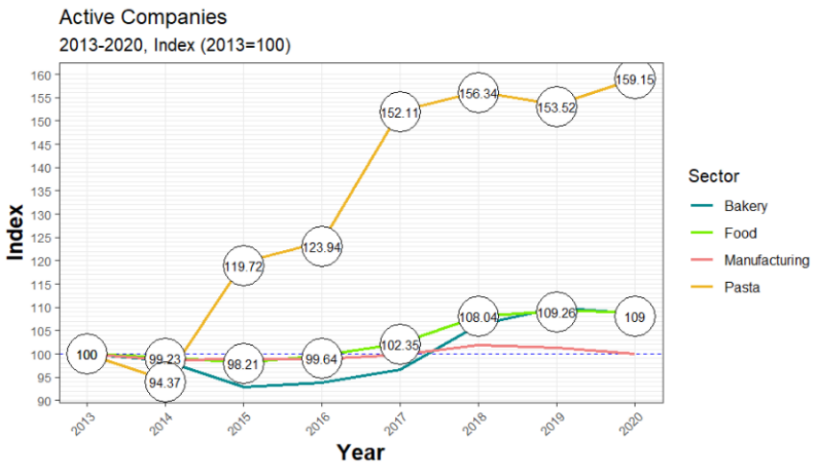


FIGURE 7
Eurostat sbs_na_ind_r2

This refutes the hypothesis, which stated that a rise in the average price might be caused by a mismatch between demand and supply.
Indeed, it looks like the increasing supply is absorbing the increasing demand, having as a result a match between the two.

Since there has been such an increase of active companies, it would be expected to observe a mirroring increase in the number of employees. Although *figure 9* depicts a contrasting phenomenon, which is a decline of employees in the pasta sector.

It is difficult to state with certainty the grounds of this observation.

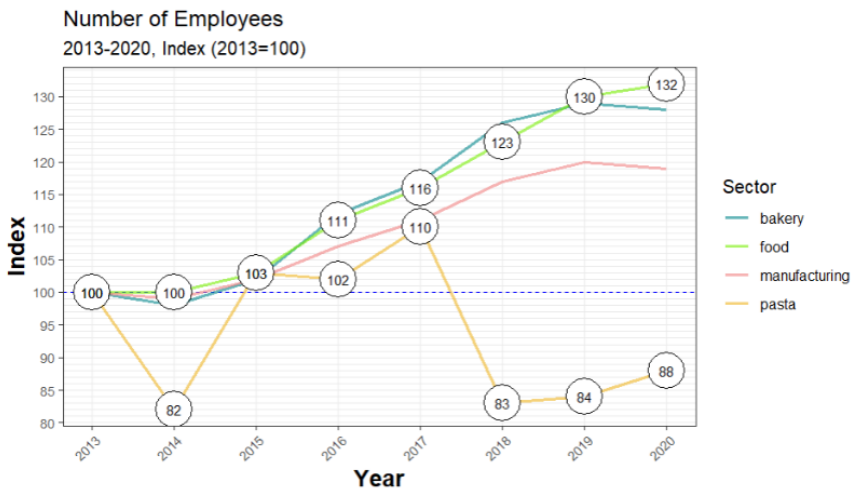


FIGURE 8
Eurostat

Some suppositions could be the following:

a. Multinational acquisition of small companies in Spain
b. Unemployment caused by the pandemic
c. Technologic innovation, which caused a reduction of human labor needed.
   This could also be proved by the increased total factor productivity over time[17], which can be confirmed from the following graph, *figure 9,* showing investment in the pasta sector

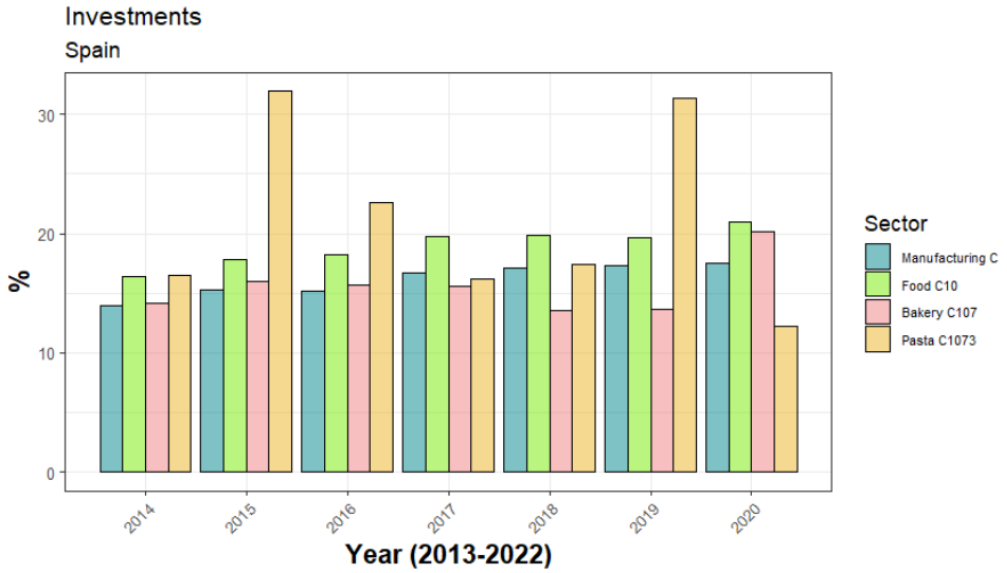


FIGURE 9
Eurostat sbs_na_ind_r2

## 3.3 COST OF RAW MATERIALS

As it was remarked in the previous sections, average retail price has increased over time.
A possible contributing factor that will be investigated in this section, is an increase in cost of raw materials.

*Figure 10* shows the trend of the costs of the selected raw materials, namely cereals and durum wheat. The cost of cereals depends on various factors such as climate fluctuations, international market conditions and trade dynamics.
It is important to note that durum wheat is part of the more general category of 'cereals'. We have reported both because although durum wheat is the main traditional ingredient of pasta,

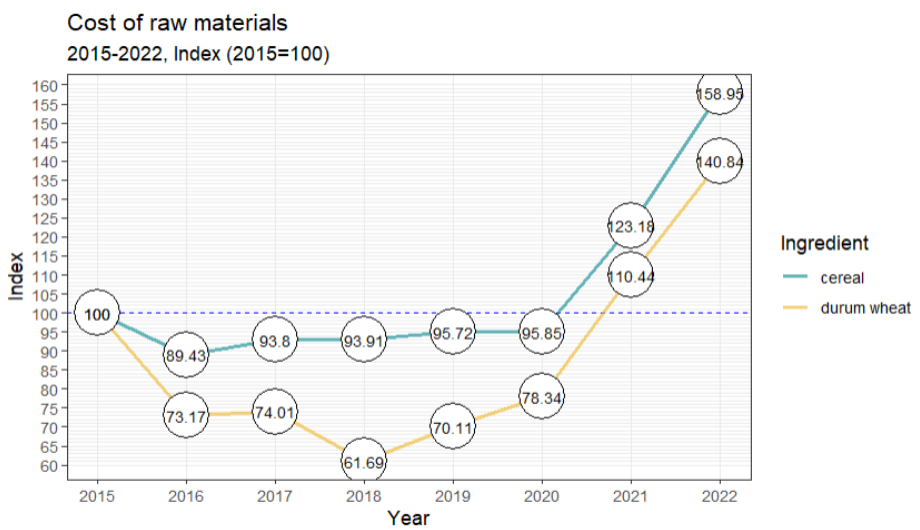


FIGURE 10
Eurostat apri_pi15_outa:011200,010000

other cereals can be used to make it.

Between 2015 and 2019 the prices showed no growth, suggesting that they have not been the primary reason behind the positive change in average retail price during that period.
But the cost of these two ingredients has increased during the pandemic for various reasons.[16] This reflects also in the average price plot, *figure* 5, where the increase happened in the same year.

In conclusion, this supply section has showed us some trends in the market of pasta, such as:

- increase of active companies in the pasta market
- a decrease of the number of employees
- active investment in the pasta industry
- an increase of the cost of pasta

# 4. PASTAS GALLO

## 4.1 OVERVIEW

Pastas Gallo is a limited partnership company in the food sector which has its headquarters in El Carpio, Spain.
The company provides to consumers a variety of retail food products, including pasta and sauces.
Throughout the years, it has steadily grown in revenue (the revenue value was grossly estimated by dividing the whole value of the pasta market in Spain by the market share of the company), especially in the last four years.
Currently, the company exports to more than thirty different countries[18], which makes it one of the most important pasta companies in the world.
In Spain it has a market share of 25% (*Figure 11*).
As well as a great national expansion, it began to expand also at the international level, acquiring 25% of Europasta Czech -a company leader of this market.

*Table showing Gallos Pasta's revenue with real prices in millions of euros from 2014-2022*

| **2014** | **2015** | **2016** | **2017** | **2018** | **2019** | **2020** | **2021** | **2022** |
|---|---|---|---|---|---|---|---|---|
| 104,42 | 101,27 | 97,64 | 96,10 | 101,35 | 103,60 | 119,61 | 120,89 | 137,02 |

## 4.2 COMPANY HISTORY [19]

The pasta company was initially founded in 1946 by Josè Espona and had its first pasta plant in Rubì (Catalonia), acquired for 10.000 pesos. At the time it only had ten workers, who produced 10 tons of pasta per day.
In 1958 the owner decided to expand its operations and he made an investment of €24.3M that allowed the acquisition of a factory in El Carpio, where the company still today has its headquarters.
One turning point for Josè occurred when he visited other pasta plants in Italy and acknowledged durum wheat semolina, a discovery that determined a series of innovations once he came back from the trip.
Pastas Gallo moved its headquarters to El Carpio only in 2017 due to autonomous revolutions in Catalonia. As a matter of fact, the biggest production factory is located where the headquarters are.
The most recent event occurred in 2019, when Espona family decided to sell its operations to the Pro Capital investment funds.

## 4.3 PRODUCT DIVERSIFICATION

Pastas Gallo is in line with the latest demand trends, showing its ability to respond to new necessities in the market, which were also cited in section 2.2.

The company's innovative spirit led them to the ability to come up with unique characteristics of product, such as:

- Pasta for children, a collaboration with Walt Disney
- Different and creative shapes of pasta (instead of the traditional ones)
- Healthy and pleasurable pasta with high quality ingredients
- Gluten free pasta under strict quality controls
- Vegan pasta using 100% vegan sheets

The firm's adaptability does not stop here: on the website of the company there is a section dedicated to recipes and showing customers how their products can be used.

## 4.4 SWOT ANALYSIS

| STRENGHTS | WEAKNESSES |
|---|---|
| • High range of pasta products<br>• High innovation rate<br>• Cares about all consumer's need<br>• Pioneer of gluten free pasta<br>• Leading competitor in the market share<br>• Affordable products | • Small range of fresh pasta for consumers<br>• Social media channels exclusively in Spanish |
| **OPPORTUNITIES** | **THREATS** |
| • Frozen pasta products [20]<br>• The use of more sustainable ingredients to produce pasta as an alternative to wheat [21]<br>• Shelf-to-table instant pasta [22] | • High competition in the market<br>• Diffusion of low carb trend might affect future consumption of pasta<br>• Raw materials are subject to climate change<br>• Price cap can be imposed on the essential goods, such as pasta, affecting negatively revenues |

## 4.5 COMPETITORS

Pastas Gallo is the leading pasta company in Spain, its products are present in 7 families out of 10, and the brand is known by 98% of Spanish people. [23]

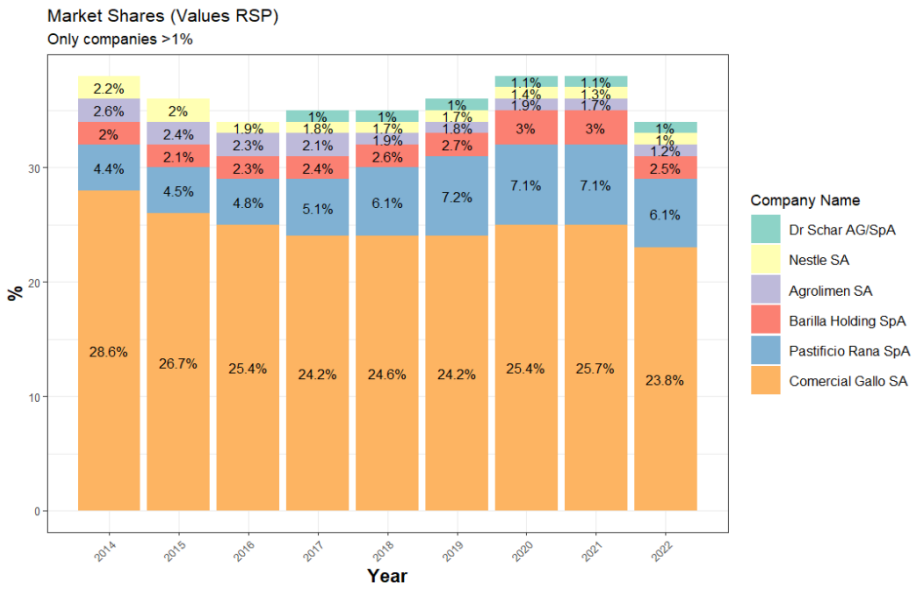


FIGURE 10
Euromonitor/Passport

However, there are few other companies that compete against Pastas Gallo with specific products.

One weakness mentioned in the SWOT analysis is that Pastas gallo has a small range of fresh products offered: if compared to "Pastificio Rana SPA", which has on average 6% of the market share, it shows that the latter has definitely more products.
As a matter of fact, Pastas Gallo offers only one type of gnocchi and no pre-packaged ready meals, whereas Pastificio Rana has seven varieties of gnocchi and ready-to-cook food, such as lasagne.

Dr Schar is also a valid competitor in the gluten free section: they offer products that Pastas Gallo does not, such as tortellini and ravioli.

Nevertheless, the company still retains the biggest market share with high-brand recognition. Therefore, the competition should not pose an imminent threat at least.

Even though Pastas Gallo has no main threat in the Spanish market, the market is quite concentrated with active companies. This is shown by C4 and HHI.
C4 is a "concentration ratio", computed by summing the percentual market shares of the first 4 biggest companies in the market. The higher the result, the less competitors are present in the market. If the result were to be 100, then it would mean that the market is a monopolistic one.

The second index is Herfindahl - Hirschman Index (HHI), which is a sum of the squares of the first four companies with the highest market share. With respect to the C4 index, it gives a weighted result. For example if there was a C4 composed by 4 firms where 1 has 77% market share and the rest have 1% each, and a C4 composed by 4 firms 20% each, the results in C4 would be identical, but in HHI it would emerge the nearly monopolistic situation of the first case.
The situation where there is a monopolistic market, would be reflected by an HHI of 10000.

The following 2 tables depict the situation in the spanish market.

TABLE 1: C4

| COMPANIES | 2014 | COMPANIES | 2022 |
|---|---|---|---|
| Commercial Gallo | 28,60 | Commercial Gallo | 23,80 |
| Pastificio Rana SpA | 4,4 | Pastificio Rana SpA | 6,1 |
| Agrolimen SA | 2,6 | Ebro Foods SA | 3,1 |
| Nestle SA | 2,2 | Barilla Holding | 2,5 |
| C4 | 37,80 | C4 | 35,50 |

TABLE 2: HHI

| COMPANIES | 2014 | COMPANIES | 2022 |
|---|---|---|---|
| Commercial Gallo | (28,6)^2 = 817,96 | Commercial Gallo | (23,80)^2 = 566,44 |
| Pastificio Rana SpA | (4,4)^2 = 19,36 | Pastificio Rana | (6,1)^2 = 37,21 |
| Agrolimen SA | (2,6)^2 = 6,76 | Ebro Foods SA | (3,1)^2 = 9,61 |
| Nestle SA | (2,2)^2 = 4,84 | Barilla Holding | (2,5)^2 = 6,25 |
| HHI | 848,92 | HHI | 619,51 |

Both results point to a concentrated market with a rich presence of companies. Indeed this was also observed in *figure 7,* which showed a constant and important spike of active companies in the market.

Even though it is true that there are many operators in Spain, it has to be highlighted that Pastas Gallo retains proportionally the biggest share, and all other active companies have a very small market share.
As such, Pastas Gallo has an important influence over the market.

## 5. CONCLUSIONS

The present report can be condensated in the following main conclusive remarks.

Spain's population is growing with a positive rate of 1.6% influenced by a strong immigration rate and not by natality.
The country has the highest unemployment rate in Europe, which however has been decreasing steadily over the last decade. In addition, over the same period GDP per capita increased, but decreased by a great margin in 2020 due to the pandemic and had a "rebound" effect the next year (2021).

The demand in the Spanish pasta market has grown over the last decade.
From the analysis it emerged that consumers have started to prefer more expensive variants of pasta.
Indeed a growth of average retail prices has been registered.

In the supply section the reasons behind this observation have been discussed, such as : increase of consumption of more expensive pasta variants, increase of the cost of raw materials, a spike in demand not met by the supply of the market.
The second one was true only starting from the year 2019. The third one was contradicted from data showing a clear spike of the number of active companies.
A contradicting phenomenon was observed in the number of employees, which over the same period of increase in active companies, showed a significant drop.
It could be due to different factors, the main one being technological innovation within the sector.

The company Pastas Gallo was founded in 1946 by José Espona after he acquired a plant in El Carpio (Spain) for 10.000 pesos thanks to his great spirit of innovation. However, the Espona family has recently sold the company to the “Pro Capital” investment fund.
Pastas Gallo knows how to meet the present demand of pasta by offering a variety of high quality products, such as vegetable pasta, pasta for children, vegan pasta, pasta of different shapes, and much more.
The firm’s products are found in 7 out of 10 Spanish homes making it the most popular for consumers in the country. This achievement can be attributed to their dominant market share in the country between 2013 and 2022.
Even though the market in Spain is quite concentrated, as both C4 and HHI show, Pastas Gallo has no imminent threats to its position.

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